- The increase in radicalisation of the INC in 1930s (towards Left) made capitalists more active in politics – but it did not push them into the 'lap of imperialism' (as predicted by contemporary radicals)which happened in some other colonial and semi-colonial countries, instead they evolved a subtle, many-sided strategy to contain the Left but no part of it went for imperialisits.
- In 1927 the capitalist class (via FICCI) refused supporting the government on the Public Safety Bill which tried to contain the communists (since they were against the imperial government) – but they did not want to destroy capitalism as a force.
- By 1943 the capitalists also realised the need for socialistic reforms – 'Post War Economic Development Committee' was set up by them which drafted the 'Bombay Plan' – with a general aim of incorporating 'whatever was sound and feasible in the socialist movement' without capitalism surrendering any of its essential features (says G L Mehta, *FICCI President*).

[Based on the CEHI, op. cit.; Bipan Chandra; Angus Maddison]

Q. 45 'India's economic policies are neo-liberal.' Examine.

Ans. The process of economic reforms started by India in 1991 was a follow-up to liberal policies influenced by current world ideas of neo-liberalism via the IMF (as it agreed with Washington Consensus, 1985). This is why critics of the reform process call Indian economic policies neo-liberal (it was also remarked by the *Supreme Court of India*, in one of its judgements in 2012).

Through reform, India started redefining the economic role of state in the economy– a predominant role was assigned to the 'private sector' – but the state today has a different and bigger role. We may cite some examples to show why India's policies are still not neo-liberal:

(i) State still manages majority stakes in the PSUs and many 'very big PSUs' have been newly set up.

(ii) Higher degree of regulation gives more economic authority to the government.